D06 · Freight Management & Mode Selection

02 · Incoterms, freight contracts & rate management

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1 WHAT IT IS

The commercial frame of transport: Incoterms 2020 define where risk and cost transfer between buyer and seller, freight contracts set rates and service commitments with carriers, and rate management keeps those prices current through tenders, indexation and audit.

2 WHY IT MATTERS

The Incoterm chosen decides who controls the freight, who insures it and who absorbs a delay — **it is a supply chain decision that is often made by sales or procurement without logistics in the room (ICC — Incoterms 2020 rules)**. On the carrier side, contracts without indexation clauses break when fuel or market rates move, and invoices without audit leak money quietly every month.

3 HOW IT IS DONE

1. **Choose the Incoterm with logistics, not only commercial, criteria.** Who controls the carrier, the insurance and the customs process should follow capability, not habit.
2. **Tender lanes on a regular cycle.** Annual or semi-annual RFQs with clear volume commitments and service SLAs, compared against market benchmarks.
3. **Index what moves.** Fuel surcharges and market-linked clauses keep contracts alive when conditions change, instead of forcing renegotiation in a crisis.
4. **Audit every invoice against the contract.** Automated freight audit catches duplicate charges, wrong accessorials and rate errors before payment.

IN PRACTICE

Treat the CIF->FOB transition as a formal procurement project

It requires process design, insurance coverage, documentation discipline and change management with suppliers. Done properly it is one of the highest-ROI logistics initiatives available.

The Incoterm on the Bill of Lading is the one with legal effect

It is common for the purchase contract to say FOB while the BL says CIF because the supplier booked the freight for convenience. Always verify the shipping document.

Audit every carrier invoice systematically

Incorrect application of surcharges is routine. Systematic auditing recovers 1–3% of annual freight spend.

ILLUSTRATIVE CASE

Illustrative case built from typical industry values — not data from a specific company.

> **Illustrative case — CIF to FOB transition, $12M annual Asian imports** — Supplier CIF rates were 37% above the consolidated market rate available to the buyer.

Component	Current CIF	Own FOB
Ocean freight rate	$0.38/kg	$0.24/kg
Management + insurance	—	$0.04/kg
Net cost	$0.38/kg	$0.28/kg

Result: Net savings of $0.10/kg × 12M kg = $1.2M per year. Consolidating volume under one freight forwarder created the leverage required for preferred carrier rates.

HOW IT IS MEASURED

Incoterm Compliance %

(Transactions with correct Incoterm per policy / Total transactions) × 100

Benchmark: 100% of import transactions with the correct Incoterm documented on the BL/AWB

Freight Rate vs Market Benchmark %

(Average freight rate paid / Market index rate) × 100

Benchmark: <105% of the relevant market index (CCFI, SCFI, Baltic Air)

WHAT YOU WOULD USE

Rate Management & Benchmarking

E2open / Uber Freight (formerly Transplace) — Freight rate management platforms with market benchmarking.

Freightos / Xeneta — Real-time ocean and air rate intelligence for contract vs spot comparison.

4 SO WHAT

Freight cost is negotiated, contracted and audited — or it is leaked. Put logistics in the Incoterm decision, tender on a cycle, index volatile components and audit every invoice before it is paid.

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